TAXATION, GST, FINANCE COMMISSION AND FISCAL FEDERALISM

TAX-INCIDENCE FORK → GST VALUE-ADD CHAIN → SUBSUMED-TAX MAP → OUTSIDE-GST BOUNDARY → GST COUNCIL VOTING BOARD → INTER-STATE SETTLEMENT RAIL

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

★ PRIMARY CORE FLOW ★ SUBORDINATE EXTRA ★ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

00

STAGE 00

TAX-INCIDENCE FORK

TAX-INCIDENCE FORK | DIRECT TAX | LEGAL INCIDENCE ON INCOME/PROFIT BASE | INDIRECT TAX | TRANSACTION/CONSUMPTION LEVY | BURDEN MAY SHIFT THROUGH PRICES | PROGRESSIVITY REQUIRES INCIDENCE AND BASE ANALYSIS | MUST REMEMBER

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
DIRECT TAX → legal incidence on income/profit base	BURDEN may shift through prices	MUST REMEMBER: Tax design balances revenue, equity, efficiency, certainty and compliance;...
INDIRECT TAX → transaction/consumption levy	PROGRESSIVITY requires incidence and base analysis	DIRECT TAX → legal incidence on income/profit base

CORE CLAIM
- DIRECT TAX → legal incidence on income/profit base
- INDIRECT TAX → transaction/consumption levy

MECHANISM
- BURDEN may shift through prices
- PROGRESSIVITY requires incidence and base analysis

CONSEQUENCE / LIMIT
- MUST REMEMBER: Tax design balances revenue, equity, efficiency, certainty and compliance;...
- DIRECT TAX → legal incidence on income/profit base

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Tax design balances revenue, equity, efficiency, certainty and compliance;.

01

STAGE 01

GST VALUE-ADD CHAIN

GST VALUE-ADD CHAIN | OUTPUT TAX MINUS ELIGIBLE INPUT TAX CREDIT | TAX ON VALUE ADDITION | DESTINATION-JURISDICTION REVENUE

OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT → TAX ON VALUE ADDITION → DESTINATION-JURISDICTION REVENUE

CORE CLAIM
- OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT
- TAX ON VALUE ADDITION

MECHANISM
- DESTINATION-JURISDICTION REVENUE
- OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT

CONSEQUENCE / LIMIT
- TAX ON VALUE ADDITION
- DESTINATION-JURISDICTION REVENUE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT; TAX ON VALUE ADDITION; DESTINATION-JURISDICTION REVENUE.

02

STAGE 02

SUBSUMED-TAX MAP

SUBSUMED-TAX MAP | EXCISE ON COVERED ITEMS + SERVICE TAX + CVD/SAD | VAT/CST + ENTRY + LUXURY + SPECIFIED ENTERTAINMENT | REDUCED CASCADING THROUGH ITC | VERIFY ITEM AND LEGAL VINTAGE

UNION → excise on covered items + service tax + CVD/SAD

STATE → VAT/CST + entry + luxury + specified entertainment → RESULT → reduced cascading through ITC → VERIFY item and legal vintage

CORE CLAIM
- UNION → excise on covered items + service tax + CVD/SAD
- STATE → VAT/CST + entry + luxury + specified entertainment

MECHANISM
- RESULT → reduced cascading through ITC
- VERIFY item and legal vintage

CONSEQUENCE / LIMIT
- UNION → excise on covered items + service tax + CVD/SAD
- STATE → VAT/CST + entry + luxury + specified entertainment

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATE → VAT/CST + entry + luxury + specified entertainment.

03

STAGE 03

OUTSIDE-GST BOUNDARY

OUTSIDE-GST BOUNDARY | BASIC CUSTOMS DUTY | ELECTRICITY DUTIES | ALCOHOL FOR HUMAN CONSUMPTION | SPECIFIED PETROLEUM PRODUCTS | OWNER-VINTAGE STATUS

CORE CLAIM
- BASIC CUSTOMS DUTY
- STAMP / PROPERTY / ELECTRICITY DUTIES

MECHANISM
- ALCOHOL FOR HUMAN CONSUMPTION
- SPECIFIED PETROLEUM PRODUCTS → owner-vintage status

CONSEQUENCE / LIMIT
- BASIC CUSTOMS DUTY
- STAMP / PROPERTY / ELECTRICITY DUTIES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ALCOHOL FOR HUMAN CONSUMPTION; SPECIFIED PETROLEUM PRODUCTS → owner-vintage status.

04

STAGE 04

GST COUNCIL VOTING BOARD

GST COUNCIL VOTING BOARD | ARTICLE 279A | 1/3 WEIGHTED VOTES | 2/3 WEIGHTED VOTES | AT LEAST 3/4 WEIGHTED VOTES

CORE CLAIM
- ARTICLE 279A
- CENTRE → 1/3 weighted votes

MECHANISM
- STATES → 2/3 weighted votes
- DECISION → at least 3/4 weighted votes

CONSEQUENCE / LIMIT
- ARTICLE 279A
- CENTRE → 1/3 weighted votes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATES → 2/3 weighted votes; DECISION → at least 3/4 weighted votes.

05

STAGE 05

INTER-STATE SETTLEMENT RAIL

INTER-STATE SETTLEMENT RAIL | INTER-STATE SUPPLY | IGST COLLECTION | INPUT-CREDIT ADJUSTMENT | DESTINATION SETTLEMENT | CLOSE DISTINCTION | DIRECT IS NOT ALWAYS PROGRESSIVE, GST RATE RECOMMENDATION IS

INTER-STATE SUPPLY → IGST COLLECTION → INPUT-CREDIT ADJUSTMENT → DESTINATION SETTLEMENT → CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy

CORE CLAIM
- INTER-STATE SUPPLY
- IGST COLLECTION

MECHANISM
- INPUT-CREDIT ADJUSTMENT
- DESTINATION SETTLEMENT

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy;...
- INTER-STATE SUPPLY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy.

06

STAGE 06

COMPENSATION TIMELINE

COMPENSATION TIMELINE | PROTECTED-REVENUE BASE | FIVE-YEAR GUARANTEE | STATED ANNUAL PROTECTED GROWTH | NOT PERMANENT ENTITLEMENT

2015-16 → protected-revenue base → 2017-2022 → five-year guarantee → 14% → stated annual protected growth → TRANSITIONAL → not permanent entitlement

CORE CLAIM
- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

MECHANISM
- 14% → stated annual protected growth
- TRANSITIONAL → not permanent entitlement

CONSEQUENCE / LIMIT
- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 14% → stated annual protected growth; TRANSITIONAL → not permanent entitlement.

07

STAGE 07

FINANCE COMMISSION MAP

FINANCE COMMISSION MAP | UNION VERSUS STATES SHARE | DISTRIBUTION AMONG STATES | OWNER RECORDS 41% | 2026-27 TO 2030-31; ACCEPTED 41%

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
VERTICAL → Union versus states share	XV-FC → owner records 41%	VERTICAL → Union versus states share
HORIZONTAL → distribution among states	XVI-FC → 2026-27 to 2030-31; accepted 41%	HORIZONTAL → distribution among states

CORE CLAIM
- VERTICAL → Union versus states share
- HORIZONTAL → distribution among states

MECHANISM
- XV-FC → owner records 41%
- XVI-FC → 2026-27 to 2030-31; accepted 41%

CONSEQUENCE / LIMIT
- VERTICAL → Union versus states share
- HORIZONTAL → distribution among states

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: XV-FC → owner records 41%; XVI-FC → 2026-27 to 2030-31; accepted 41%.

08

STAGE 08

DIVISIBLE-POOL BOUNDARY

DIVISIBLE-POOL BOUNDARY | ORDINARY SHAREABLE UNION TAXES | DIVISIBLE POOL | DISTINCT TREATMENT | FEDERAL EFFECT | STATE UNTIED-SPACE CONCERN

ORDINARY SHAREABLE UNION TAXES

DIVISIBLE POOL → CESSES / SURCHARGES → distinct treatment → FEDERAL EFFECT → state untied-space concern

CORE CLAIM
- ORDINARY SHAREABLE UNION TAXES
- DIVISIBLE POOL

MECHANISM
- CESSES / SURCHARGES → distinct treatment
- FEDERAL EFFECT → state untied-space concern

CONSEQUENCE / LIMIT
- ORDINARY SHAREABLE UNION TAXES
- DIVISIBLE POOL

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CESSES / SURCHARGES → distinct treatment; FEDERAL EFFECT → state untied-space concern.

09

STAGE 09

ADMINISTRATION AND ENFORCEMENT

ADMINISTRATION AND ENFORCEMENT | UNION DIRECT TAXES | CBIC + STATE ADMIN | INDIRECT TAX | REVENUE DEPARTMENT AGENCIES | FUNCTIONS REMAIN LEGALLY DISTINCT

CBDT → Union direct taxes

CBIC + STATE ADMIN → indirect tax / GST → ED / DRI / DGGI → Revenue Department agencies → FUNCTIONS remain legally distinct

CORE CLAIM
- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

MECHANISM
- ED / DRI / DGGI → Revenue Department agencies
- FUNCTIONS remain legally distinct

CONSEQUENCE / LIMIT
- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ED / DRI / DGGI → Revenue Department agencies.

10

STAGE 10

TAX-BASE EDGE CASES

TAX-BASE EDGE CASES | ALLIED RURAL ACTIVITY | AUTOMATIC AGRICULTURAL INCOME | RURAL AGRICULTURAL LAND | STATUTORY CONDITIONS | EQUALISATION LEVY | SPECIFIED DIGITAL-SERVICE HISTORY | INDIRECT TRANSFER

ALLIED RURAL ACTIVITY != automatic agricultural income

RURAL AGRICULTURAL LAND → statutory conditions → EQUALISATION LEVY → specified digital-service history → INDIRECT TRANSFER → offshore form, Indian-value link

CORE CLAIM
- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

MECHANISM
- EQUALISATION LEVY → specified digital-service history
- INDIRECT TRANSFER → offshore form, Indian-value link

CONSEQUENCE / LIMIT
- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EQUALISATION LEVY → specified digital-service history; INDIRECT TRANSFER → offshore form, Indian-value link.

11

STAGE 11

FISCAL-FEDERAL ANSWER SPINE

FISCAL-FEDERAL ANSWER SPINE | DEFINE BASE, INCIDENCE AND DESTINATION | MAP COLLECTION, ITC AND SETTLEMENT | SEPARATE DEVOLUTION, GRANTS AND CESSES | BALANCE HARMONISATION, AUTONOMY AND TRUST | EVIDENCE LIMIT | SEPARATE CONSTITUTION, STATUTE, COUNCIL

DEFINE base, incidence and destination → MAP collection, ITC and settlement → SEPARATE devolution, grants and cesses → BALANCE harmonisation, autonomy and trust → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate Constitution, statute, Council

CORE CLAIM
- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

MECHANISM
- SEPARATE devolution, grants and cesses
- BALANCE harmonisation, autonomy and trust

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate Constitution, statute, Council...
- DEFINE base, incidence and destination

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate Constitution, statute, Council.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT | TAX DESIGN BALANCES REVENUE ADEQUACY, EQUITY, EFFICIENCY, SIMPLICITY, CERTAINTY | DESTINATION TAXATION REDUCES PRODUCTION-LOCATION ADVANTAGE BUT REQUIRES ROBUST INTER | VERTICAL IMBALANCE ARISES BECAUSE HIGHER LEVELS OFTEN HAVE STRONGER | HORIZONTAL DEVOLUTION CRITERIA BALANCE FISCAL CAPACITY, NEEDS, EQUITY, DEMOGRAPHY | TAX EXPENDITURES THROUGH EXEMPTIONS SHOULD BE EVALUATED LIKE EXPLICIT | COOPERATIVE INSTITUTIONS WORK BEST WHEN DATA, COMPENSATION RISKS AND | GST COUNCIL

OPTIONAL SOURCE DEPTH
- CAUTION: Tax design balances revenue adequacy, equity, efficiency, simplicity, certainty and
- CAUTION: Destination taxation reduces production-location advantage but requires robust inter
- CAUTION: Vertical imbalance arises because higher levels often have stronger tax bases while
- CAUTION: Horizontal devolution criteria balance fiscal capacity, needs, equity, demography and

ADVANCED DEBATE
- CAUTION: Tax expenditures through exemptions should be evaluated like explicit spending.
- CAUTION: Cooperative institutions work best when data, compensation risks and compliance burdens
- GST Council: federal forum for recommendations on the GST framework.
- CBIC and state GST administrations: administer indirect taxes and compliance.

LEGACY / NUANCE
- CBDT: administers Union direct taxes.
- Finance Commission: recommends tax devolution and grants; it does not set GST rates.
- CAUTION: A destination-based GST sends revenue towards the state where final consumption occurs
- CAUTION: Input credit reduces tax-on-tax only when invoices, eligibility and compliance

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels